SCHEDULE SPES

STATION POWER - ENERGY STORAGE

APPLICABILITY

This Schedule is applicable to customers with in-front-of-the-meter (IFOM) energy storage devices, configured as either stand-alone or as part of a Hybrid Resource, who will at any time charge from the grid and/or require Station Power. For purposes of this Schedule, IFOM energy storage devices that are part of a Co-located Resource are considered to be stand-alone. Customers with any behind-the-meter (BTM) Generating Facilities, including energy storage devices, are not eligible for service under this Schedule. T T T

TERRITORY

Within the entire territory served by the Utility.

RATES

Customers receiving service under this Schedule are supplied retail service under their Otherwise Applicable Tariff (OAT) and applicable Standby schedule based on the characteristics of the customer's Station Power load. Except as described below, all rates and charges of the customers' retail OAT continue to apply. Nothing in this Schedule modifies the applicability of the retail schedules under which the customer would otherwise be required to receive service if the customer were not participating on this Schedule. Applicability of Departing Load charges are determined based on those Schedules and are not impacted by a customer's participation under this Schedule.

Pursuant to California Public Utilities Commission (CPUC) Decision (D.) 17-04-039 and 23-10-003, the following rate treatment shall apply to the load of customers served under this Schedule: T

1. All energy used for purposes other than for supporting a resale of energy back into wholesale markets, as specified in Rates 2 below, is Station Power and inherently retail, subject to the rules defined herein regarding netting of energy consumption as specified in Special Condition 5, and will be billed on the customer's retail OAT.

2. All energy drawn from the grid to charge energy storage resources for later resale, including energy associated with efficiency losses, is Wholesale Power and subject to a wholesale tariff.

(Continued)

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SPECIAL CONDITIONS

1. Definitions: The following definitions are applicable to service provided under this Schedule, in addition to those included in SDG&E Electric Rule 1. L

   a. Station Power: All energy used for purposes other than for supporting a resale of energy back to the wholesale markets.

      i. When the energy storage device is charging or discharging, Station Power specifically includes all load for information technology and communications, lighting, ventilation and safety, or other onsite loads not specifically defined in Special Condition 1.b, subject to the netting provisions of Special Condition 5.

      ii. When the energy storage device is idle, all energy consumed onsite (and/or any mutually agreed upon amount as established on Electric Sample Form 195-1000), qualifies as Station Power and is subject to a retail rate. T L

   b. Wholesale Power: All energy drawn from the grid to charge the energy storage device for later resale.

      i. When the energy device is charging or discharging, Wholesale Power specifically includes all load for charging energy, resistive losses, pumps (flow batteries and pumped hydro), power conversion systems, transformers, battery management systems, thermal regulation and vacuums (for flywheels), subject to the netting provisions of Special Condition 5.

      ii. When the storage device is idle, any energy consumed by the storage device is station power and subject to a retail rate.

   c. Idle: The condition when the energy storage device is determined by SDG&E to be neither charging (consuming kWh) nor discharging (exporting kWh) over any entire 15-minute settlement interval, regardless of whether the energy storage device is providing a service (e.g., ancillary service) to the grid during that same interval, but where Station Power may be consumed. T T

   d. IFOM: In-front-of-the-meter; Generating Facilities, including energy storage devices, that are directly connected to, and that have been authorized by SDG&E to operate in parallel with, SDG&E-owned transmission or distribution facilities. All energy discharged from IFOM energy storage devices, less Station Power, is exported to the grid. T T T T

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SCHEDULE SPES

STATION POWER - ENERGY STORAGE

SPECIAL CONDITIONS (Continued)

e. BTM: Behind-the-Meter; Generating Facilities, including energy storage devices, that are located behind an end-use customer's retail meter, and that have been authorized by SDG&E to operate in parallel with SDG&E-owned transmission or distribution facilities. T L T T

f. Hybrid Resource: As defined by the CAISO tariff as of the date this Schedule is approved by the Commission. T T

g. On-Site Self-Supply: Energy produced by a Generating Facility, other than the energy storage device, that is part of a Hybrid Resource, and which is used to supply all or some of the Station Power loads of the energy storage device. T T T

h. Co-located Resource: As defined by the CAISO tariff as of the date this Schedule is approved by the Commission. T T

2. Terms of Service.

a. A customer applying for service under this Schedule must enter into a signed agreement with SDG&E using Form 195-1000, Station Power Agreement for Energy Storage Devices. Customers applying for service under this Schedule that are Hybrid Resources and which will supply all of the energy storage device's Station Power with On-Site Self-Supply, must attest to such On-Site Self-Supply by electing the applicable option on Form 195-1000. Service under this Schedule will become effective at the start of the next regularly scheduled billing period following the date upon which Permission To Operate (PTO) is effective, as determined by the CAISO or SDG&E as applicable. T T

b. Customers served under this Schedule are required to enter into an applicable Interconnection Agreement in accordance with SDG&E's CPUC-approved tariff (Rule 21), SDG&E's Federal Energy Regulatory Commission (FERC)-approved tariff (Wholesale Distribution Access Tariff (WDAT)) or the California Independent System Operator (CAISO) tariff. T T T

c. It is the customer's responsibility to notify SDG&E, in writing, if there is a change in the customer's equipment or operations that may change the customer's eligibility status and/or retail billing under this Schedule. L

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SCHEDULE SPES

STATION POWER - ENERGY STORAGE

SPECIAL CONDITIONS (Continued)

3. Metering Provisions. SDG&E and the customer shall negotiate measurement and metering provisions that allow for the determination of Station Power and Wholesale Power, as defined herein, within the parameters of at least one of the three options described below. Any agreed upon measurement and metering provisions must allow compliance with all applicable interconnection tariffs and must be documented on Form 195-1000. All metering, equipment and protective relays necessary to implement the provisions of the Schedule are at the customer's expense. L

   a. All electric charging service under this Schedule may be separately metered via an independent grid tie for Station Power and a separate tie for Wholesale Power load. The Station Power service meter shall to the extent practicable reasonably capture all Station Power. Any Station Power not captured should be reported to SDG&E at the time of interconnection or at any time when the customer first becomes aware of such Station Power and shall be documented on Form 195-1000. T T T

   b. Where an independent grid tie for Station Power does not exist or does not capture all Station Power, electric charging service under this Schedule may be separately metered via a sub-metering arrangement. The Station Power service sub-meter shall to the extent practicable capture all Station Power not captured by the independent grid tie for Station Power. Any Station Power not captured by the Station Power service sub-meter should be reported to SDG&E at the time of interconnection or at any time when the customer first becomes aware of such Station Power and shall be documented on Form 195-1000. T T T T T T T

   c. SDG&E will at its discretion accept alternative metering and measurement arrangements to the extent that the metering and measuring arrangement reasonably capture Station Power and do not impose an unreasonable administrative burden on SDG&E. T

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SCHEDULE SPES

STATION POWER - ENERGY STORAGE

4. Billing. Billed Station Power will be based on metered consumption to the extent possible. For configurations where an independent grid tie for Station Power does not exist or does not capture all Station Power, and where the remaining Station Power is sub-metered, the bill will be based on metered registrations, subject to the netting provisions of Special Condition 5. For configurations where a sub-meter for Station Power is impractical due to the energy storage device's characteristics or operational challenges, non-metered data may be substituted based on a determination of the unmetered Station Power. This determination must closely reflect the billing determinants had a sub-metering option been employed, and must be documented on Form 195-1000. SDG&E and the Customer may mutually agree on a retail billing methodology which differs from specific terms of this Schedule, including the netting provisions of Special Condition 5, and which SDG&E determines reasonably reimburses SDG&E for the cost of the retail services provided by SDG&E to the Customer.

   SDG&E will not bill for an energy storage device's Station Power where the Customer applying for service under this Schedule is a Hybrid Resource and where the Customer supplies all of the energy storage device's Station Power with On-Site Self-Supply. Eligibility for this billing exemption requires that the Customer makes the attestation set forth in Special Condition 2.a.

   SDG&E will bill for an energy storage device's Station Power where the Customer applying for service under this Schedule is a Hybrid Resource and where the Customer does not supply all of the energy storage device's Station Power with On-Site Self-Supply. This billing will be in accordance with the terms of the current Schedule until, and if, a more granular accounting system is developed and implemented via future revisions to this Schedule that distinguishes between (i) On-Site Self-Supply that is used to supply the energy storage device's Station Power, and (ii) energy withdrawn from the grid that is used to supply the energy storage device's Station Power.

5. Permitted Netting. Netting to determine retail billing under this Schedule is predicated on the following provisions.

   a. Insofar as an energy storage device withdraws (charge) or injects (discharges) more Wholesale Power subject to a dispatch at a greater absolute value than its Station Power consumption during the same 15-minute billing interval, that consumption should be able to be netted against the response to the dispatch, just as it is for conventional generators.

   b. In instances where the energy storage device's cumulative absolute value of charging plus discharging is greater than Station Power load in a 15-minute billing interval, then the load is charged as Wholesale Power. If the energy storage device's cumulative absolute value of charging plus discharging is less than the Station Power load in a 15-minute billing interval, then the load is charged as Station Power.

   c. If the energy storage device is Idle for an entire 15-minute billing interval, no netting is applicable and all load is charged at the customer's retail OAT rate as Station Power.

   d. For customers with a Scheduling Coordinator other than SDG&E, this netting provision shall only apply if the Scheduling Coordinator, as identified on Form 195-1000, provides SDG&E with the information necessary to perform the calculations specified herein, as determined by SDG&E.

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